FINS3616 International Business Finance

Term 2, 2026

Week 1 Reading Guide and Tutorial Questions

Chapters 1, 2, Multinational Corporations (MNCs) and Exchange Rate Determination

Week 1 Readings (Shapiro)

Chapter 1 – Introduction: Multinational Enterprise and Multinational Financial Management

1.1 The Rise of the Multinational Corporation

1.2 The Internationalisation of Business and Finance

Chapter 2 – The Determination of Exchange Rates

2.1 Setting the Equilibrium Spot Exchange Rate

2.2 Expectations and the Asset Market Model of Exchange Rates - *only content covered in lecture*

2.3 The Fundamentals of Central Bank Intervention - *only content covered in lecture*

Week 1 Tutorial Questions

Chapter 1:

MNCs: Conceptual Question 7

Chapter 2:

Exchange Rate Changes: Conceptual Questions 1, 2, 4 and 5

Currency Appreciation/Depreciation: Problems 5 , 2 and 6

Additional questions on Currency Appreciation/Depreciation, only if time permits.

Chapter 1

Chapter 1, Question 7

7. *Is there any reason to believe that MNCs may be less risky than purely domestic firms? Explain.*

Chapter 2, Question 1

In February 2022, as a response to its invasion of Ukraine, Russia faced unprecedented sanctions from Western countries representing more than half the world's economic output. What is the expected market reaction for the Russian Ruble (RUB)?

Chapter 2, Question 2

2.2 In March 2020, the COVID-19 pandemic causes almost all transportation to cease in major industrialized countries. What would be the likely market reaction for the Norwegian krone (NOK) and the Saudi Arabian riyal (SAR) given that these two countries are large petroleum exporters?

Chapter 2, Question 4

2. The maintenance of money's value is said to depend on the monetary authorities. What might the monetary authorities do to a currency that would cause its value to drop?

Chapter 2, Question 5

3. For each of the following six scenarios, say whether the value of the dollar will appreciate, depreciate, or remain the same relative to the Japanese yen. Explain each answer. Assume that exchange rates are free to vary and that other factors are held constant.

a. The growth rate of national income is higher in the United States than in Japan.

b. Inflation is higher in the U.S. than in Japan.

c. Prices in Japan and the United States are rising at the same rate.

d. Real interest rates are higher in the United States than in Japan.

e. The United States imposes new restrictions on the ability of foreigners to buy American companies and real estate.

f. U.S. wages rise relative to Japanese wages, and American productivity falls behind Japanese productivity.

Please note that Equations (2.1) and (2.2) from the PPT slides of Chapter 2, which are based on the Textbook by Shapiro, are reproduced below for your convenience, as you deal with a few of the problems listed below.

$$\%\Delta_{Base\ currency} = \frac{e_1 - e_0}{e_0} \tag{2.1}$$

$$\Delta_{Reference\ currency} = \frac{\frac{1}{e_1} - \frac{1}{e_0}}{\frac{1}{e_0}} = \frac{e_0 - e_1}{e_1} \tag{2.2}$$

Chapter 2, Problem 5

Please note that prior to the formation of the Euro as a single currency within the Euro-zone area, each country, like Germany (Deutch Mark-DM), Itay (Lira) and France (French Franc, FF), had their own currencies.

5. *On Friday, September 13, 1992, the Italian lira was worth DM 0.0013065. Over the weekend, the lira devalued against the DM to DM 0.0012613.*

a. *By how much has the lira devalued against the DM?*

b. *By how much has the DM appreciated against the lira?*

c. *Suppose Italy borrowed DM 4 billion, which it sold to prop up the lira. What were the Bank of Italy's lira losses on this currency intervention?*

d. *Suppose Germany spent DM 24 billion in an attempt to defend the lira. What were the Bundesbank's DM losses on this currency intervention?*

Ch 2, Problem 2

On June 22, 2016, the day before the Brexit vote, the British pound was worth \$1.467. Two weeks later, on the July 7, the British pound was worth \$1.292.

a. By what percentage has the pound appreciated or depreciated against the dollar during this two-week period?

b. By what percentage has the dollar appreciated or depreciated against the pound during this period?

$$\frac{\frac{1}{1.292} - \frac{1}{1.467}}{\frac{1}{1.4674}} = \frac{0.7740\ -\ 0.6817}{0.6817} = 13.54\%$$

Ch 2, Problem 6

2.6. The Norwegian krone fell 19.13% relative to the U.S. dollar between March 6, 2020, and March 20, 2020, when oil prices plunged following the COVID-19 lockdowns. By how much did the dollar appreciate against the Norwegian krone?

Assume the price on March 6 was 1.00.

Additional Questions if time permits

1- On February 1, the euro is worth \$0.8984. By May 1, it has moved to \$0.9457.

a. By how much has the euro appreciated or depreciated against the dollar over this 3-month period?

b. By how much has the dollar appreciated or depreciated against the euro over this period?

2- Describe how these three typical transactions should affect present and future exchange rates.

a. Joseph E. Seagram & Sons imports a year's supply of French champagne. Payment in euros is due immediately.

b. MCI sells a new stock issue to Alcatel, the French telecommunications company. Payment in dollars is due immediately.

c. Korean Airlines buys five Boeing 747s. As part of the deal, Boeing arranges a loan to KAL for the purchase amount from the U.S. Export Import Bank. The loan is to be paid back over the next seven years with a two year grace period.

Chapter 2, Problem 4

3. In early August 2002 (the exact date is a state secret), North Korea reduced the official value of the won from \$0.465 to \$0.0067. The black market value of the won at the time was \$0.005.

a. By what percent did the won devalue?

c. Following the initial devaluation what further percentage devaluation would be necessary for the won to equal its black market value?